

their money, during the drop. It sounds like people had to sell their homes to cover their losses and go live in their cars.

Yet the infamous 12 March 2020 crash saw the S&P 500 drop 9.5 per cent in a day. If you had a \$100 000 portfolio in a well-diversified fund, you only lost \$9500 in value. Someone with \$100 000 to invest is not going to sweat over less than \$10 000. What's more, that money wasn't 'wiped out'.

Unless they panicked and sold their entire portfolio right then, they hadn't lost anything. These 'losses' would eventually recover once the market recovered. In this case, the market very quickly returned to pre-crash levels. In fact, some of the world's richest people saw their wealth double during the pandemic.

This hyper sensationalised perspective of market drops feeds into the curiosity and fear everyday people have about the stock market — and into the idea that it's risky and basically like gambling.

Why the market moves

The truth is that it's normal for markets to move. It's to be expected. There are 9.5 per cent drops from time to time. A market correction of around 10 per cent occurs every two years; a bear market, where the market falls 20 per cent, occurs about every seven years; and a crash of 30 per cent occurs every 12 years.

Let's take a step back. Why do stock prices dance around so much in the first place?

Have you ever looked at the movement of the market in a single day? Look at [figure 7.1](#). What happened between 2 pm and 4 pm to cause that change in the stock price?